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EXPRESS special**INSTANCES OF VEHICULAR DAMAGE CIRCULATED ON SOCIAL MEDIA OVERBLOWN: MINISTER**

E20 affects mileage, but West Asia crisis shows India must explore alternatives, says Gadkari

On conflict of interest allegations, he says personal stake 'too insignificant' to impact government policy

Anil Sasi
New Delhi, July 9

AMID A raging debate over the impact on vehicular performance from the shift to higher ethanol blends, Union Road Transport and Highways Minister

ister Nitin Gadkari reckoned that average mileage can dip as ethanol content increases in the fuel, but said the West Asian crisis has shown India must explore all alternatives to fossil fuel imports.

He told *The Indian Express*



Union Road Transport and Highways Minister Nitin Gadkari. EXPRESS FILE

EXPLAINED

LESSONS FOR INDIA FROM BRAZIL'S ETHANOL PATHWAY
[PAGE 13](#)

that the calorific value of ethanol is lower than petrol. "This is a fact," he said, admitting mileage could be hit with higher blending, but added that

CONTINUED ON PAGE 2

E.**EXPLAINED**

Why explore fossil fuel alternatives

India imports fuel products, and spends almost Rs 2 lakh crore in forex every year. Blended fuel—ethanol in petrol & methanol in diesel—will help the country reduce dependence on fossil fuels.

Think tank CSDS likely to face funding cuts from Centre

After probe, ICSSR 'looks at' suspending its grants which account for 90% of CSDS salaries: Rs 5.8 crore in 2024-25

Vikas Pathak
New Delhi, July 9

THE CENTRE for the Study of Developing Societies (CSDS), established in 1963 and one of the premier social science research centres in the country, faces deep funding cuts from the government which could cast a cloud over its viability, *The Indian Express* has learned.

This action follows CSDS professor Sanjay Kumar flagging discrepancies in voter data in Maharashtra which Kumar himself later said was a misreading and apologised for it.

Another think tank, Centre for Policy Research, had to considerably whittle down its operations following an Income Tax probe and the cancellation of its foreign funding licence two years ago.

CSDS faces the prospect of losing its grants from Indian Council of Social Science Research (ICSSR), an organisation under the aegis of the Ministry of Education whose grants accounts for over 83% of its income.

Sources said CSDS may also lose its status as an institution

»CONTINUED ON PAGE 2

INDO-PACIFIC A SYMBOL OF SHARED ASPIRATIONS: MODI

India, Australia ink defence pacts, fast-track trade deal



Prime Minister Narendra Modi with his Australian counterpart Anthony Albanese in Melbourne on Thursday. AP: [RELATED REPORT, PAGE 6](#)

Step taken to operationalise 2014 nuclear pact, secure uranium supplies to India

Shubhajit Roy
New Delhi, July 9

SIGNALLING A significant deepening of bilateral ties, India and Australia on Thursday sealed a series of pacts across sectors, from defence and maritime security to energy, including one that paves the way to operationalise their 2014 Civil Nuclear Agreement that secures a stable cor-

ridor for uranium supplies to India for peaceful purposes.

With these pacts forming the backdrop, Prime Minister Narendra Modi described both countries as "vibrant democracies", "multicultural societies", and "significant ocean powers". Modi told Australian Prime Minister Anthony Albanese that they will together strengthen peace, stability, freedom of navigation, and a

rules-based order across the Indo-Pacific region.

Albanese, in turn, said the two countries are focusing on deepening and diversifying their partnership. "Six years into our strategic partnership, Australia's relationship with India has never been more consequential than it is today. Our partnership has never been stronger," he said.

"We share a focus on deepening and diversifying the relationship between our countries so we can continue to grow from strength to strength. Today, we have done exactly

that across the breadth of our relationship. With new landmark agreements, we are expanding our relationship across defence and security, education, science and technology, and energy security and critical minerals," he said.

The strengthening of ties comes at a time when China's assertive behaviour in the Indo-Pacific region has caused concern among like-minded Quad partners, while the ongoing conflict in West Asia between the US and Israel on one side and Iran on the other has

»CONTINUED ON PAGE 2

**INDIAN EXPRESS UPSC IAS EDITION HD 10~07~2026
-:FOR UPSC IAS ASPIRANTS:-**

"AVOID POLITICAL & IRRELEVANT ARTICLES"

Please Try To Read This Completely in 40 Minutes If You Can't So Then You Have To Increase Your Efforts

All the topics of this UPSC IAS Edition are directly or indirectly important for the prelims & main examination. There are some topics which can be coded in answer writing of other topics in the main exam.

A DAY AFTER ROHINI COLLAPSE

'Only face-saving exercises being done': SC raps civic bodies over illegal constructions

Express News Service
New Delhi, July 9

PULLING UP civic authorities over illegal and unsafe buildings in Delhi-NCR, the Supreme Court on Thursday said that “only face-saving exercises are being done” to check the menace.

A bench of Justice A Amanullah and Justice R Mahadevan directed the setting up of a team comprising two senior IIT professors and two draftsmen, along with MCD officials, to assess the extent of unauthorised constructions that have come up in Saket, Lajpat Nagar and Malviya Nagar and submit a report to the court.

Directing officials to be present before it on August 4 — on the next date of hearing — the bench made it clear that there should be “no slackness in giving an honest report”.

Referring to news reports that over 93% of Gurgaon establishments had failed fire safety audit, the court asked the Gurugram Metropolitan Development Authority vice chairman to appear before it on August 4 and appraise it on what had been done to address



A status report pointed to a building collapse in Saidulajab on May 30 (left) and a fire in Malviya Nagar on June 3 (right) while slamming authorities over alleged inaction and failures. FILE

the issue.

While hearing the matter related to illegal constructions, the SC had on March 25 taken a serious note of the fact that constructions are frequently undertaken in blatant violation of the applicable norms and regulations, including in prohibited areas and upon completion, and that such lands and buildings are often put to uses other than those for which

sanction was originally granted
by the competent authority.

The court accordingly asked municipal authorities across the country "to conduct a comprehensive inquiry within their respective jurisdictions to identify areas that are demarcated exclusively for residential use, but are being misused for non-residential purposes by the persons concerned".

Noting that no effective ac-

tion has been taken on its directions, the court cautioned on Thursday that it will not hesitate to initiate contempt of court proceedings against those failing to comply with its earlier directions in the matter.

The bench told Additional Solicitor General S.D. Sanjay, appearing for the MCD that it is "particularly concerned with the conduct of" the corporation "with regard to non-com-

pliance of directions issued... in 2024 and specific directions of May 20, 2026, which were issued as to what was required to be done by the authorities”.

Meanwhile, in a status report submitted through advocate Govind Jee, senior advocate Ajit Kumar Sinha – appointed by SC to assist it as amicus curiae – slammed the MCD for failing to act on time to stop the construction of the al-

The apex court ordered setting up of a team comprising two senior IIT professors and two draftsmen, along with MCD officials, to assess the extent of unauthorised constructions in Saket, Lajpat Nagar

legedly illegal building that collapsed in Saidulajab on May 30, killing six and injuring 14 others. He also pointed out that a blaze on June 3 at Delhi's Malviya Nagar and June 22 in Lucknow were not the result of any single failure but several.

The court took on record status report. Sinha has been appointed amicus in regard to recent fires in Delhi, Lucknow and action on unauthorised constructions.

It also asked the Commissioner of Lucknow Municipal Corporation and Greater Chennai Corporation to remain present on the next date of hearing.

INDIA TO ALSO REPATRIATE RELICS OF AN 'AUSTRALIAN FIRST NATIONS' ANCESTOR

11th-12th century antiquities from Tamil Nadu to finally come home from Australia

Divya A
New Delhi, July 9

THREE ANTIQUITIES from Tamil Nadu, dating back to the 11th and 12th centuries and housed at two museums in Australia, are all set to make their way back to India.

The repatriation of the antiquities is among the outcomes of the India-Australia summit during Prime Minister Narendra Modi's ongoing visit to the island nation. For its part, India has committed to the repatriation of the relics of an Australian First Nations ancestor presently held at the Government Museum of Chennai.

The antiquities that will return to India in due course, as per the commitment between the two sides, include a stone sculpture of sacred Nandi – the vehicle of Lord Shiva (11th to 12th century); a metal trident with the image of Bhadrakali (11th century); and a six-headed Karthikeya statue in stone (12th century), as per the Ministry of External Affairs (MEA).

These objects have been held as part of the collections of National Gallery of Australia and Art Gallery of NSW (New South

• All about the three antiquities

METAL TRIDENT WITH IMAGE OF GODDESS BHADRAKALI:

Originating from Sri Kasiviswanathaswamy Temple in Kollumangudi, it was crafted in the South Indian temple ritual metal work tradition for religious worship



STONE IDOL OF SIX-HEADED KARTHIKEYA:

Carved in the Chola-period sculptural tradition, it originates from the Naganathswamy Temple, Manambadi village of Thanjavur district



STONE IDOL OF NANDI:

Sculpted in the Tamil Shaiva temple tradition, it originates from Sri Kasiviswanathaswamy Temple, Kollumangudi village in Thiruvallur district



Wales). According to officials, the antiquities are being repatriated after their provenance was verified following investigations at the behest of Tamil Nadu Idol Wing CID.

It was, in due course, established that they had been removed from temples in Tamil Nadu and trafficked overseas, sources said. The idols will be handed over to the Indian mission in Australia and subsequently transported back to the country.

During their joint address

following the delegation-level talks on Thursday, both the Prime Ministers welcomed the voluntary return of these cultural artefacts to India.

In a separate statement, the office of Australian PM Anthony Albanese said: "The voluntary returns demonstrate Australia's ongoing commitment to being an international leader in the ethical collection of cultural material and best-practice collection management."

The MEA, in a statement issued after the India-Australia

Annual Summit, said the two PMs "noted the growing cultural exchanges that continue to deepen mutual understanding and welcomed the voluntary return to India of several cultural artefacts held by Australian institutions".

Albanese also "welcomed progress to repatriate an Australian First Nations ancestor (relics) held in the Government Museum of Chennai. The ancestors will be voluntarily and unconditionally repatriated by India to their Traditional Custodians," said the statement by his office.

It is believed that the Government Museum in Chennai received the skull of a First Nations ancestor sometime in 1935, as part of an anthropological exchange. Australia, which is home to the First Nations people, has in recent years focused on the repatriation of the remains of ancestors and their sacred objects.

"The repatriation of First Nations ancestors promotes healing, justice and reconciliation," Albanese said, adding, "I commend Prime Minister Modi for the decision to repatriate Australian First Nations ancestors to their Traditional Custodians."

INDUS RIVER SYSTEM

Rainfall in eastern river basins down 20% since 1951: Study

Amitabh Sinha
New Delhi, July 9

IN THE first-of-its-kind assessment of the impact of climate change on water availability in the Indus river system, a new study has revealed that the catchment areas of the three eastern rivers — Ravi, Beas and Sutlej — saw a 20 per cent decline in precipitation in the period between 1951 and 2024.

On the other hand, rainfall in catchment areas of three western rivers — Indus, Jhelum and Chenab — was largely stable, with only a 6 per cent reduction observed over the same period, “which is statistically non-significant”, the study has found.

The findings are relevant in view of India’s argument that the Indus Waters Treaty with Pakistan, which governs the sharing of waters of the Indus basin between the two countries, needs to be renegotiated to account for new ground realities created by climate change and other factors like demographic changes. Under the treaty, the waters of the three eastern rivers have been fully allocated to India, while that of the three western rivers are mostly meant for use by Pakistan.

After the Pahalgam terror at-

The findings are relevant in view of India’s argument that the Indus Waters Treaty with Pakistan... needs to be renegotiated to account for new ground realities created by climate change and other factors like demographic changes

tack last year, India had declared that it had put the treaty “in abeyance”, meaning it no longer considered itself bound by its provisions.

It has repeatedly maintained that the treaty would remain “in abeyance” until Pakistan “credibly and irrevocably” abjures its support for cross-border terrorism. But much before this incident, in 2023 and 2024, India had served more than one notice to Pakistan seeking a “review and modification” of the treaty. India had argued that population pressures, changes in water demand, need for accelerated development of clean energy,

and changes in water availability due to climate-induced processes had brought about “fundamental and unforeseen changes in circumstances” that required suitable modifications to be made in the 1960 treaty.

Pakistan has not responded to these notices.

The latest study is the first data-based evidence to support the argument that water availability and the flow in the rivers had been substantially altered over the decades due to climate change. The study was carried out by Vimal Mishra, a professor of Civil Engineering at IIT-Gandhinagar and one of India’s leading researchers on hydrology and the impact of climate change on water resources, and his colleague Urmin Vegad. It is due for publication in a peer-reviewed international journal.

The study also found significant depletion of groundwater in the Sutlej and Ravi sub-basins. The groundwater situation in the Chenab, Jhelum and Indus basins was found to be relatively better, “possibly reflecting limited agricultural use, lower population density, or higher recharge from snowmelt and precipitation”. The study found a “pronounced decline” in annual in-

flow of water in the reservoirs of major dams on the eastern rivers like Pong, Bhakra and Thein. The reservoir of Pong dam, for example, saw a decline of nearly 34 per cent in annual inflows between 1951 and 2020. The major reservoirs in Pakistan, on the other hand, were not substantially affected. Flows into Mangla and Tarbela dams, two of the biggest in Pakistan, both built on the western rivers, remained mostly stable, with very minor declines.

“Most of these changes are due to natural causes. Maybe, groundwater depletion is man-made. But others are all a result of natural variabilities. And these do alter the situation that existed in 1960 when the Indus Waters Treaty was signed,” Mishra told *The Indian Express*.

The study says these large-scale changes may make the treaty unsustainable in the long run. “The treaty was designed in the mid-20th century amid hydro-climatic conditions that differ remarkably from the recent period. Since the formation of the treaty, the Indus River Basin has undergone substantial hydro-climatic and geopolitical changes that have led to questions about its long-term sustainability,” it says.

WILDLIFE PANEL CONSTITUTION HEARING

‘Tendency to treat statutory bodies as extension of govt arm’: HC pulls up Centre

Sohini Ghosh
New Delhi, July 9

THE DELHI High Court Wednesday pulled up the Centre for “treating every statutory body as an extension of the government’s arm” while hearing a petition by former bureaucrats and others, flagging the Standing Committee of the National Board of Wildlife (SC-NBWL) has been constituted in contravention of statutory provisions and has been “stamp-approving” proposals at an “alarming” rate.

The PIL, filed by 10 people, including retired Indian Forest Service and IAS officers, wildlife conservationists, and a non-voluntary organisation working in conservation, has flagged that the SC-NBWL “has been recklessly permitting proposals for diversion of Protected Areas” with over 97% of the project proposals considered by the SC-NBWL between 2014 and 2026 receiving approval.

A bench of Chief Justice DK Upadhyaya and Justice Tejas Karia on Wednesday sought a response from the government in four weeks’ time.

Addressing the counsel representing the government, CJ Upadhyaya orally remarked during the hearing, “...If what the (petitioners’ lawyer) says is cor-

rect...see the composition of the Board... highest level functionaries of the country are members, and if the (Wildlife Act provisions) says Standing committee will be constituted by the Board, not the government, can’t you differentiate simply between a statutory board and the functions of government?”

He said, “Board is an entity distinct and separate from the government entity; it cannot act as a government department. There is a tendency ...treating every statutory body as an extension of the government’s arm. That is not the scheme of this Act. There is a purpose behind creating such an autonomous independent statutory body or a board or commission...you cannot usurp every power. It is alarming...”

According to the petitioners, the statutory requirements for constituting the committee, which is expected to be an independent body, has not been complied with since the government changed at the Centre in 2014. The petitioners also highlighted that the committee, which has a mandate to promote conservation and develop wildlife, has been taking decisions and passing orders that are “beyond its mandate and jurisdiction under the Act and are

completely contrary to the ethos and rationale behind the formation of the Committee.”

The PIL also highlighted that the SC-NBWL has approved various projects, “prioritising economic benefits over long-term environmental impacts”.

The petitioners cited that the SC-NBWL, reconstituted in 2026, in its very first meeting held on March 21 this year, considered 52 proposals. Of these, 28 were cleared, which is “a poor reflection of the functioning of the SC-NBWL, which should be ensuring that the last remaining Protected Areas of the country are free from all sources of destruction and fragmentation,” they added.

Prime Minister Narendra Modi serves as the ex-officio chair of NBWL, the Board constituted under the Wildlife Act. More than 10 years after assuming office, PM Modi chaired his first-ever meeting of the NBWL in March this year. Apart from denotifying protected areas and eco-sensitive zones, as well as permitting petrochemical and mining projects in such areas, the standing committee, in just 12 meetings held between 2024 and 2026, “has recommended 187 proposals for establishing mobile towers in Protected Areas,” petitioners have alleged.



A global crackdown and a chance for India

THE MULTI-agency operation carried out by federal law enforcement agencies from several countries, with networks spanning continents, against transnational crime syndicates, is welcome. India has actively cooperated in the investigations. The findings also vindicate Delhi's long-held stand that it had no role in terror cells operating abroad. For years, the Indian establishment had to contend with allegations that it was involved in the assassination of Khalistani separatist Hardeep Singh Nijjar in Surrey in June 2023. The killing, and the public smear campaign by the then Justin Trudeau government, plunged bilateral ties into a deep freeze. Now, public statements by senior officials of the Royal Canadian Mounted Police, the agency whose investigations were earlier cited to cast suspicion on the Indian security establishment, reflect the maturity of the new Canadian leadership under Prime Minister Mark Carney. He has moved not merely to mend relations between the two countries but to fast-track cooperation in trade and education. Canadian universities were long the preferred destination for many Indian students, but the diplomatic freeze had disrupted the educational exchange. The new signals from Ottawa should provide a fresh impetus to people-to-people ties.

Operation Hard Ball has also exposed the transnational reach of criminal syndicates targeting the Indian diaspora not only in Canada but also in the US, Europe and Australia. Indian security agencies were among the first to point to the emerging nexus between organised crime and terror networks. This convergence enabled separatist groups to finance and sustain their agenda, while forcing security agencies to confront syndicates dealing simultaneously in drugs, terror and separatism. Extortion calls, once associated with Mumbai's underworld of a bygone era, have become the preferred weapon of criminal syndicates to terrorise Indians settled abroad. While victimising fellow Indians, these networks have also tarnished the reputation of the diaspora, often by exploiting vulnerable students as foot soldiers.

The operation offers an opportunity to make the Indian diaspora safer. It is also a chance for India to dismantle the domestic gangs and extortion rackets that are increasingly targeting businessmen across parts of the country. The message should be unambiguous. Youngsters lured by the glamour of gang culture must realise that the path leads not to power or prosperity but to prison or deportation. Syndicates that once appeared untouchable are now being hunted across jurisdictions. India must seize this moment to ensure that organised crime ceases to be a lucrative enterprise, and is seen for what it really is — a high-risk, zero-reward proposition.

Lost in India's celebrations of trade pacts, the big deal

IN CASABLANCA, Humphrey Bogart observes that the problems of "three little people don't amount to a hill of beans in this crazy world". Trade policy is not cinema, but the line applies with some precision to India's current diplomatic enthusiasm for free trade agreements. Its recent trade deals with the EU and the UK and an earlier one with Japan have been widely celebrated, underlining the openness to global commerce. The celebrations are not entirely misplaced. But the arithmetic suggests India may be cheering for the hill of beans while the mountain stands unclimbed.

The mountain is the United States. For the period 2020-25, India's annual goods trade surplus with America averaged approximately \$42 billion. India's combined goods trade surplus with the EU, the UK, and Japan together was approximately \$12 billion. The ratio is roughly 4 to 1 in favour of the US. One country, no trade agreement, nearly four times the commercial benefit of three large partners and three "celebrated" trade deals. This is the number that should be at the centre of India's trade strategy conversation. It is emphatically not.

The US surplus is not an accident. It reflects India's genuine comparative advantages in pharma generics, software-adjacent electronics assembly, and skilled labour-intensive goods. An India-US FTA that zeroes remaining tariffs on these categories would cement demand for Indian exports. A full deal cuts both ways too, opening India's market wider to American agriculture, energy, and defence goods, so the \$42 billion surplus will not simply hold. But

even a partial narrowing of it would dwarf anything on offer from the EU, UK, or Japan deals combined. And the bigger prize is not goods at all: It is market access for Indian IT and professional services — a services negotiation, not a merchandise one.

These numbers cover only merchandise goods trade. India exports \$79 billion in goods to the US annually and imports \$37 billion, generating the \$42 billion surplus. These are not raw commodities but generic pharmaceuticals (India supplies roughly 40 per cent of US generic drug volumes), electronics including Apple's iPhone assemblies now made in India, gems and jewellery, engineering goods, and chemicals. The US is India's most important destination for high-value, knowledge-intensive manufactured exports.

The EU is India's second-largest goods trading partner. The country runs a surplus of around \$18 billion annually with the bloc — real and growing, driven partly by petroleum re-exports after Russia's invasion of Ukraine, and partly by pharmaceuticals and engineering goods. The EU-India FTA matters: India pays 9-12 per cent tariffs on textiles and garments entering Europe, while Vietnam, which signed an EU deal in 2020, pays nothing — a legitimate grievance and real opportunity. But even a generous estimate of what the EU FTA adds to India's goods balance — perhaps \$8-10 billion annually at full implementation — leaves the US surplus in a categorically different league.

The UK deal is the one fur-



SURJIT S BHALLA

thest along: India and the UK signed the Comprehensive Economic and Trade Agreement (CETA) in July 2025. It delivers duty-free access for 99 per cent of India's exports to the UK by value — but India's current goods surplus with the UK is only around \$5 billion, a rounding error next to the American number.

The Japan story is more cautionary. India and Japan signed the Comprehensive Economic Partnership Agreement (CEPA) in 2011, with a trade target of \$25 billion by 2014. India's goods exports to Japan today — 15 years on — are approximately \$6 billion, and the trade balance has swung from a small deficit at signing to a deficit of roughly \$11 billion now. The CEPA removed most tariffs; what it could not remove were Japan's formidable non-tariff barriers. At the July 2026 Modi-Takaichi summit, the two sides agreed only to review and negotiate a CEPA upgrade — a commitment to talk, not anegotiated reduction in non-tariff barriers.

There is also the China question, which none of these deals addresses but which no serious discussion of Indian trade policy can ignore. India's goods trade deficit with China reached approximately \$99 billion in 2024-25 — a record, on imports of \$113 billion against exports of just \$14 billion. The combined surplus from all three of India's agreements with EU, UK and Japan would not cover an eighth of that deficit.

Which brings us back to the United States. The India-US goods relationship has strengthened every decade since 2000 — a sur-

plus of roughly \$7 billion in the 2000s, \$22 billion in the 2010s, \$42 billion now — without a single formal trade agreement, a sign of how much more could be achieved with one. An India-US agreement covering goods and services — with stable, near-zero tariffs across pharmaceuticals, electronics, gems, and engineering goods, plus provisions on IT services and professional mobility — would be the most consequential trade agreement India has ever signed, serving its broader ambitions: An economy more reliant on markets than bureaucrats, on the growth path Viksit Bharat requires. In India's trade policy universe, the US relationship is not one deal among several. It is the deal. The others are useful increments, this one a structural shift.

Given this, it's worth asking why the US deal is so difficult to achieve. Political economy supplies part of the answer: The likely losers are inefficient Indian producers who currently enjoy protection, and China, since deeper US-India integration would reinforce the global shift away from Chinese manufacturing dominance.

In the end, Bogart gave up the hill of beans and chose the larger cause. India's trade negotiators face a version of the same choice: Keep celebrating agreements that improve the margin, or muster the political will for the one that changes the game. The arithmetic has been clear for some time. The question is whether the strategy has caught up with it.

The writer is chairperson of the Technical Expert Group for the first official Household Income Survey for India. Views are personal

For the period 2020-25, India's annual goods trade surplus with America averaged approximately \$42 billion. India's combined goods trade surplus with the EU, the UK, and Japan together was approximately \$12 billion

Lessons from a Chinese supercomputer



SUBIMAL BHATTACHARJEE

ON JUNE 23, at the International Supercomputing Conference, a machine almost no one had heard of vaulted to the top of computing's most-watched scoreboard. LineShine, housed at the National Supercomputing Centre in Shenzhen, clocked 2.198 exaflops on the High Performance Linpack benchmark — more than 20 per cent faster than the United States' El Capitan at 1.809. It is the first Chinese system to top the TOP500 since Sunway TaihuLight in 2017, and the first machine ever to cross two exaflops using only general-purpose CPUs, no GPUs.

That last detail is the story. China did not win by buying the best chips; it was barred from doing so. LineShine runs on a fully domestic stack — custom 304-core LX2 processors built on the Arm architecture, a proprietary LingQi interconnect, the home-grown LingKun platform and Kylin OS, across nearly 13.8 million cores. China stopped submitting to the TOP500 as the US export controls bit; re-entering it is a deliberate signal that the chokehold did not work as intended. The export controls since 2022 triggered a state-backed self-sufficiency drive. Chip self-sufficiency, just 33 per cent in 2024, is targeted at 80 per cent by 2030. TrendForce expects domestic chips to supply half of China's AI-chip market in 2026. Three toolmakers, Naura, AMEC and ACM Research, entered the global top 20 for the first time in 2025; Huawei's AI-chip revenue is projected to jump 60 per cent to \$12 billion.

This is the value-chain ascent in miniature: China climbing from assembly into design, tooling, materials and architecture — the high-margin, hard-to-replicate links where strategic leverage sits. For India, the moment is instructive. Launched in 2021 with a Rs 76,000-crore outlay, the India Semiconductor Mission has approved 13 projects across seven states. The Tata-Powerchip fab in Dholera, a Rs 91,000-crore, 28nm bet on 50,000 wafers a month, anchors the effort, with first silicon due around 2028.

Three lessons can be drawn from this result. First, an ecosystem is not a fab: China's edge came from depth across equipment, materials, interconnects, software and design IP built over a decade. ISM 2.0's refocus on equipment, materials and Indian IP suggests the lesson is absorbed; execution is the test. Second, design is leverage, up to half of value addition, and India already hosts the R&D centres of Nvidia, Intel, Qualcomm and Texas Instruments, a fabless strength that may pay faster than chasing leading-edge fabs. Third, patient capital and talent win: With a 700,000-strong skills shortage looming by 2030, the country that trains engineers fastest compounds its advantage.

The deeper takeaway is geopolitical. Washington's denial strategy assumed that withholding technology would preserve its lead indefinitely. China's answer is that denial accelerates substitution, fragmenting the global stack into parallel, incompatible ecosystems.

Washington's denial strategy assumed that withholding technology would preserve its lead indefinitely. China's answer is that denial accelerates substitution, fragmenting the global stack into parallel, incompatible ecosystems

Bhattacharjee is a defence and tech policy adviser and author of The Digital Decades: On 30 Years of the Internet in India

The Ideas Page

FRIDAY, JULY 10, 2026

DIS/AGREE

THE BEST OF BOTH SIDES

A weekly column, which offers not this-versus-that, but the best of both sides, to inform the debate



ILLUSTRATION: C R SASIKUMAR

Cities provide more opportunities for women to work. Why can so few women access them?

Not till cities reduce time, safety, care costs



KANIKA MAHAJAN

THE LATEST PLFS city estimates from the National Statistics Office seem to offer a hopeful story: India's largest cities provide women with better jobs. In the 46 million-plus cities, 65.1 per cent of employed women are in regular salaried work, compared with 50.9 per cent in urban India overall. Yet female labour force participation in these cities is only 25.5 per cent, lower than the urban average of 27.7 per cent. Big cities produce better jobs, but the real question is why so few women can access them.

It should not surprise us that big cities have a higher share of salaried jobs. This is the equilibrium outcome of thicker labour markets. Large cities concentrate firms and utilities such as schools, hospitals and business services, along with more educated workers. Among women, 29.4 per cent in these cities have college-and-above education against 25 per cent in non-metro urban India. Once firms and skilled workers cluster together, more salaried work follows.

Nor is it surprising that employed women in big cities are concentrated in salaried jobs. Women place high value on non-wage attributes such as predictable hours, formal contracts, paid leave, safety, childcare and transport. Research shows that women's participation rises with the expansion of white-collar work, which offers higher returns and social acceptability. Our research similarly finds that larger firms employ more women, likely because they offer amenities like maternity benefits, transport and paid leave.

The salaried-work statistic must therefore be read carefully, since it is conditional on being employed. It tells us only that among the minority of urban women who make it into paid work, many select into better jobs. It does not mean the city has solved women's employment problems. A city where three-fourths of women remain outside the labour force cannot declare success because the one-fourth who work are more likely to be salaried.

The same caution is needed in reading the earnings numbers. On average, women earn 22.7 per cent less than men, an important disparity, but monthly earnings do not account for hours worked. The PLFS data show that women employed in salaried work work almost 12.6 per cent fewer hours

per week than men. In bigger urban cities, this hour gap is slightly larger, at around 14 per cent. A simple accounting exercise shows that fewer hours explain almost 20 per cent of the earnings gap. Adding age, education and occupation raises the explained share to just 30 per cent. The larger point remains that a sizeable earnings penalty for women persists irrespective of city size, pointing to a more general problem of gender discrimination.

The harder question is why female participation is lower in the largest cities than in urban India as a whole. One answer lies in the geography of work, since women's employment is not just a wage decision. Evidence from job-search behaviour shows that women search closer to home and are willing to trade off wages for shorter commutes. Indian evidence on urban mobility points the same way. Women are far less likely than men to step out of the home on a given day, reflecting safety, household responsibility, social norms and weak transport systems. Fewer hours worked reflect similar constraints of care, commuting and safety.

This helps explain why rural India has historically shown higher female work participation. Much rural work is low-paid and informal, but agriculture and allied work is often closer to home and easier to combine with domestic responsibilities. As work moves from farms to firms, non-agricultural growth can exclude women in the absence of safe transport, affordable childcare and quality jobs.

The unemployment data also tell the same story. Female unemployment (ages 15-59) is higher than male unemployment everywhere, but the gender gap is larger in the 46 big cities, at 9.81 per cent for women against 6.49 per cent for men, versus 9.07 and 6.36 per cent elsewhere. Big cities are not merely places where women opt out. They are also places where women looking for work face a harder matching problem.

India's urban agenda cannot treat women's employment as an automatic by-product of growth. Cities need frequent and safe public transport, last-mile connectivity, street lighting, mixed-use neighbourhoods, childcare and regulations that make amenities easier for employers to provide. The real lesson from the new data is that even our best labour markets do not work for women. Until cities reduce the time, safety and care costs of taking a job, they will continue to produce better jobs without producing enough women workers.

The writer is associate professor of Economics at Ashoka University and Co-Lead for Employment at the Isaac Centre for Public Policy

Beyond childcare, four other barriers



ROOPA KUDVA

THERE ARE two things worth cheering about in the latest report of the National Statistics Office on India's million-plus cities. First, female labour force participation has climbed from 19.8 per cent in 2017-18 to 27.2 per cent in 2025, showing the sharpest gain of any group. The second is entrepreneurship — in 32 of the 46 million-plus cities, more than 20 per cent of unincorporated establishments are now run by women. Cities have become India's biggest centres of opportunity for women — and increasingly, it isn't only the big metros. In Surat, Vadodara and Pune, 40 per cent of unincorporated establishments are run by women.

Both numbers deserve celebration, but they come with a catch. Female LFPR, even after this gain, is still barely a third of the male rate of 75.9 per cent. Startlingly, despite the shift in aspirations, nearly 70 per cent of women outside the labour force still cite childcare and home commitments as the reason, proof that this is far from a solved problem.

For the rest, however, four gaps explain why the LFPR gap is not closing faster. Every system that touches a woman's working life — how she gets to work, whether she can occupy public space with the same ease as men, whether she rises once she's in an organisation, whether a bank or an investor will fund her — is designed around a male default.

Mobility: For men, the labour market begins at the workplace. For many women, it begins much earlier — on the street, at the bus stop, at the train station. ORF's Women on the Move study found that over half of women reported experiencing harassment on public transport, and a similar share perceive it as unsafe. Women also rarely have linear commutes — their journeys are "chained", dropping children to school, managing errands, on the way to or back from work — while our transport systems are still built around a simple home-to-office trip. If transport isn't reliable, safe or built for how women actually move through a city, labour supply shrinks before an employer ever sees the candidate.

Public spaces: The deeper problem is beyond the commute. Look at our public spaces — you rarely see women simply sitting in a park alone, lingering in a café, or

spending time on a street without a clear purpose. Women feel they must be doing something legitimate to justify their presence in public space. That's a very different problem from safety alone, and it's one policing can't fix. The answer is designing cities that assume women are full participants in public life — not those who need a reason to be there.

Career progression: Even women who clear the first two hurdles run into a third: They don't rise at the rate they enter. Only 5 per cent of NSE-500 companies are women-led. For years, the explanation has been maternity breaks and caregiving. That narrative is tired and incomplete — it explains some exits, but not why so many women who stay still don't progress into leadership.

A large part of the answer is unconscious bias. Successful women are often less liked than successful men, because traits like assertiveness and driving accountability conflict with longstanding expectations that women be accommodating and nurturing. A firm view from a man reads as conviction; from a woman, as sharp. Women are asked to deliver outcomes while continuously managing tone and perception — and that shapes self-belief and choices, sometimes unconsciously. That is why, as one report showed, men apply for roles when they meet 60 per cent of the qualifications, while women wait until they meet nearly all of them.

This is where the conversation usually runs into a familiar objection — that supporting women somehow means compromising merit. Far from it. Promoting women isn't anti-merit; it's how you actually give yourself the chance to uncover more of it. Organisations that effectively exclude half the workforce aren't protecting standards. They're narrowing them.

Funding: The fourth gap is capital. Women-led MSMEs in India face a credit gap of around 35 per cent, held back by inadequate collateral, lower property ownership and financial literacy. Further up the ladder: Less than 5 per cent of India's VC funding goes to start-ups with a woman founder. Part of the reason is pitch-room dynamics. Studies have shown that investors ask women founders more "prevention" questions — about risk, safety, what could go wrong — while men are asked "promotion" questions, about growth and scale.

Cities have opened a door for women that didn't exist a decade ago. But walking through it still means clearing a commute, a public square, a boardroom and a bank. Until all four are rebuilt for her, closing the gap with men will take far longer than it needs to.

The writer headed Crisil and ONI

From Hormuz to Malacca, Delhi must draw the right lessons



ARUN PRAKASH

AS WASHINGTON finished celebrating America's 250th Independence Day, millions in Tehran, defying predictions, filed past their slain Supreme Leader's remains to pay homage. The Strait of Hormuz, locked in a volatile "strategic pause", has now erupted in a renewed spasm of extreme violence. The tension and uncertainty that have become inherent in the Persian Gulf vividly illustrate how geography can be weaponised to hold the global economy and world peace to ransom.

Violence had returned on June 25, when Iran attacked a Singapore-flagged merchant vessel that failed to comply with its prescribed routing instructions. This was followed by a brief exchange of air and missile strikes with US forces, and a nominal pause in hostilities. The pause was short-lived because each interdiction by Iran of what it considered "errant" merchantmen provoked a retaliatory US strike.

The Islamabad Memorandum of Understanding (MoU), signed on June 17, was intended to establish a 60-day provisional ceasefire between the US-Israel coalition and Iran. As many feared, the shaky agreement began to crumble soon after its signing under the weight of conflicting interpretations and rigid positions adopted by all parties.

On July 8, shortly after President Donald Trump declared the MoU "dead", US Central Command announced on social media that "US forces completed a new round of offensive strikes against Iran, hitting over 80 targets... as an immediate response to Iran's latest attacks on vessels transiting the Strait of Hormuz". This is a dismaying indication that both trigger-happy nations are willing to risk the complete collapse of this fragile agreement.

At the heart of the discord lies Article 5 of the MoU, which mandates that Iran use its "best efforts" to ensure the safe passage of commercial vessels through the Strait. Tehran views the MoU as recognition of its authority to regulate traffic within its territorial waters, while Washington rejects this, insisting the Strait must be governed by the principles of free "transit passage" guaranteed by the UN Convention on the Law of the Sea.

Israel had distanced itself from the MoU, maintaining that the ceasefire did not constrain its military operations against Hezbollah, and its forces continued to wreak death and destruction well inside Lebanon. Given that the deeper roots of this whole conflict lie in Tel Aviv and in Israel's underlying aims of eliminating Iran's military and nuclear capabilities as well as its top leadership, Iran's possible response remains an imponderable of intense concern to the world.

For Iran, engaged in a grossly unequal conflict in which it has suffered tremendous devastation, accompanied by extreme economic hardship due to prolonged sanctions, the Strait is the final strategic card left for it to play. A huge chasm persists between Iran's demand for security guarantees and economic relief, and the US stipulations in respect of

uranium enrichment by Iran and freedom of navigation. Unless mediators like Pakistan and Qatar can hammer out yet another *modus vivendi*, the Islamabad peace process may have breathed its last and the region risks sliding back into an open-ended crisis.

These events show how quickly rising tensions can turn maritime chokepoints into geopolitical flashpoints, disrupting shipping lanes and global supply chains. As interstate competition grows, the ability to threaten these critical routes for energy, trade, and commerce undermines economic stability and highlights why a rules-based international order must be urgently restored.

Closer to home, parallels are being drawn between Hormuz and the Andaman and Nicobar Islands, situated at the mouth of the Malacca Strait, as a fulcrum of naval dominance in India's eastern waters. Coincidentally, a mega project that envisages a deepwater port, an international airport and a township on Great Nicobar Island — a mere 90 miles from the Indonesian port of Sabang — is awaiting final government approval. Proponents of this project claim that apart from its economic benefits, the project would bolster India's regional security posture and act as a deterrent for China's maritime ambitions in the Indian Ocean region.

While the absence of military fortification of the Andaman and Nicobar Command has been a long-overdue lacuna, equating India's potential leverage over Malacca with Iran's tight grip on Hormuz could be misleading. Whereas

the Strait of Hormuz is a short passage, dominated by a narrow bottleneck between Iran and Oman, the Strait of Malacca is a 1,100-kilometre-long transit corridor, running between Indonesia, Malaysia, and Singapore, which brook no external interference. Since Hormuz constitutes the Persian Gulf's sole exit, its closure means total maritime isolation of the littoral states. In the case of Ma-

lacca, there are alternative (albeit much longer) routes available via the Sunda, Lombok and Ombai-Wetar Straits, connecting the Pacific and Indian Oceans.

Given the vast ocean areas involved, interdiction or interference with international shipping via Malacca may be a bridge too far, even for a major naval power. And yet there is no doubt that the 800-kilometre north-south geographic spread of the Andaman and Nicobar Islands enables India to dominate the Bay of Bengal, and our naval strategists must draw all the right lessons about sea control, trade-warfare and blockades, from the ongoing Persian Gulf melodrama.

While maintaining a low-key posture throughout this crisis, India has conveyed unmistakable but unwarranted signs of a significant "tilt" in one direction. In anticipation of the coming churn in regional geopolitics, India needs to grasp the earliest opportunity to restore diplomatic balance in its long-term national interest.

Given its cordial relations with all three belligerents, New Delhi needs to shed its diplomatic lassitude and leverage its moral and strategic weight to end the ongoing violence, which could engulf its neighbourhood. India must remonstrate strongly with all parties to abandon reckless brinkmanship, cease actions that threaten regional stability and world peace, and return to the negotiating table. The Global South is watching us.

The writer is a former Indian Navy chief



ILLUSTRATION: TANUSHRI MITRA

EXPRESS special

‘FTA more than a trade pact... it’s choosing cooperation over fragmentation’

AMBASSADOR OF the European union (EU) to India **HERVÉ DELPHIN** said last month that the Free Trade Agreement (FTA) between India and the EU could enter into force in the first quarter of 2027. Earlier, on June 17, following a meeting with Prime Minister Narendra Modi on the sidelines of the G7 Summit in Evian-les-Bains, France, the president of the European Commission, Ursula von der Leyen, had posted on X: “We will sign the Free Trade Agreement by the end of the year.” India and the EU announced the conclusion of the FTA in New Delhi on January 27 this year. In the weeks that followed the announcement, **NIRBHAY THAKUR** spoke with six EU Ambassadors to India about the agreement, which has been described by Prime Minister Modi as a “new blueprint for shared prosperity”.

What key deliverables can be expected in the coming months?

The overwhelming positive assessment in India, Europe, and many partner countries about the [January] Summit and its outcomes, the joint Comprehensive Strategic Agenda, the FTA and other deliverables, speaks volumes about the strategic significance of our partnership for us and for the world.

We are committed to delivering at speed and scale. Only a few weeks after the Summit, we launched exploratory talks for the Association to Horizon Europe, which is the largest research and innovation programme in the world. Then we had the official launch of the EU Legal Mobility Gateway Office that will facilitate the movement of talent in the information and communications technology sector, followed by our first elevated security and defence dialogue. In the coming weeks, we will see the Trade and Technology Council ministerial in Europe.

Every component of the



Ambassador of the European Union to India Hervé Delphin at Idea Exchange at The Indian Express in June 2025. ARCHIVE



NEXT: ANTONIO BARTOLI, ITALY'S AMBASSADOR TO INDIA

strategy is working in synergy with each other. We have managed to combine security, economy, technology, and people in mutually reinforcing ways.

The FTA is supposed to be a strategic hedge for both partners against supply chain vulnerabilities and economic protectionism. Can you explain?

First, it is an enabler for more investment and more business. It is also creating the world's largest single market. The EU has removed or reduced duties on more than 99% of Indian exports and India has fully or partially removed tariffs on close to 97% of EU exports.

The two-way trade in goods and services, worth more than 180 billion Euros, will be accelerated; ...we could reach double the volume of trade. The FTA will be great for the competitiveness and economies of both the EU and India. Second, EU FTAs are predictable, transparent, generate a level playing

field and mutual benefits, and don't create any potential uncertainties.

Finally, this FTA is more than just a trade pact. It will allow us to build resilient and trusted supply chains between the EU and India. Both sides have made the choice of openness over protectionism, cooperation over fragmentation, and rule-based trade over the unpredictability of one-sided arrangements.

There is concern that EU's “green” standards can become non-tariff barriers. How does the FTA ensure that sustainability goals do not become a regulatory hurdle for Indian SMEs?

I think there is a misunderstanding. These rules apply to every actor, whether EU or non-EU. They are non-discriminatory. They do not put Indian exporters at a disadvantage.

Indian exporters know that the more decarbonised their product is, the more competitive they will be in the European market. We went through an interim transition and consultation period for over two years. We did seminars, explanations on deforestation regulations and CBAM (Carbon Border Adjustment Mechanism). We have also been going through a simplification exercise of CBAM so that the reporting requirements are lower for MSMEs.

FULL INTERVIEW ON WWW.INDIANEXPRESS.COM



• **ECONOMY**

Lessons for India from Brazil's ethanol pathway



ANIL SASI

IN THE mid-1970s, faced with surging oil import bills and an imploding global sugar market, Brazil made a bold bet: it would run its cars on alcohol. Half a century later, this Brazilian push to ramp up ethanol use in its auto fuel mix is now a masterclass in bio-fuel adoption.

There are perhaps three key enabling factors that have made this a success: a graded, spaced-out approach to fuel blending with predefined milestones; the vehicular ecosystem being given enough time to adapt to this transition in tandem with clear guidance to motorists; and offering choice and price incentives for consumers to shift to ethanol that is now enshrined in a national law. This is a contrast to India's rushed efforts to incorporate ethanol into its fuel mix.

Context for adoption

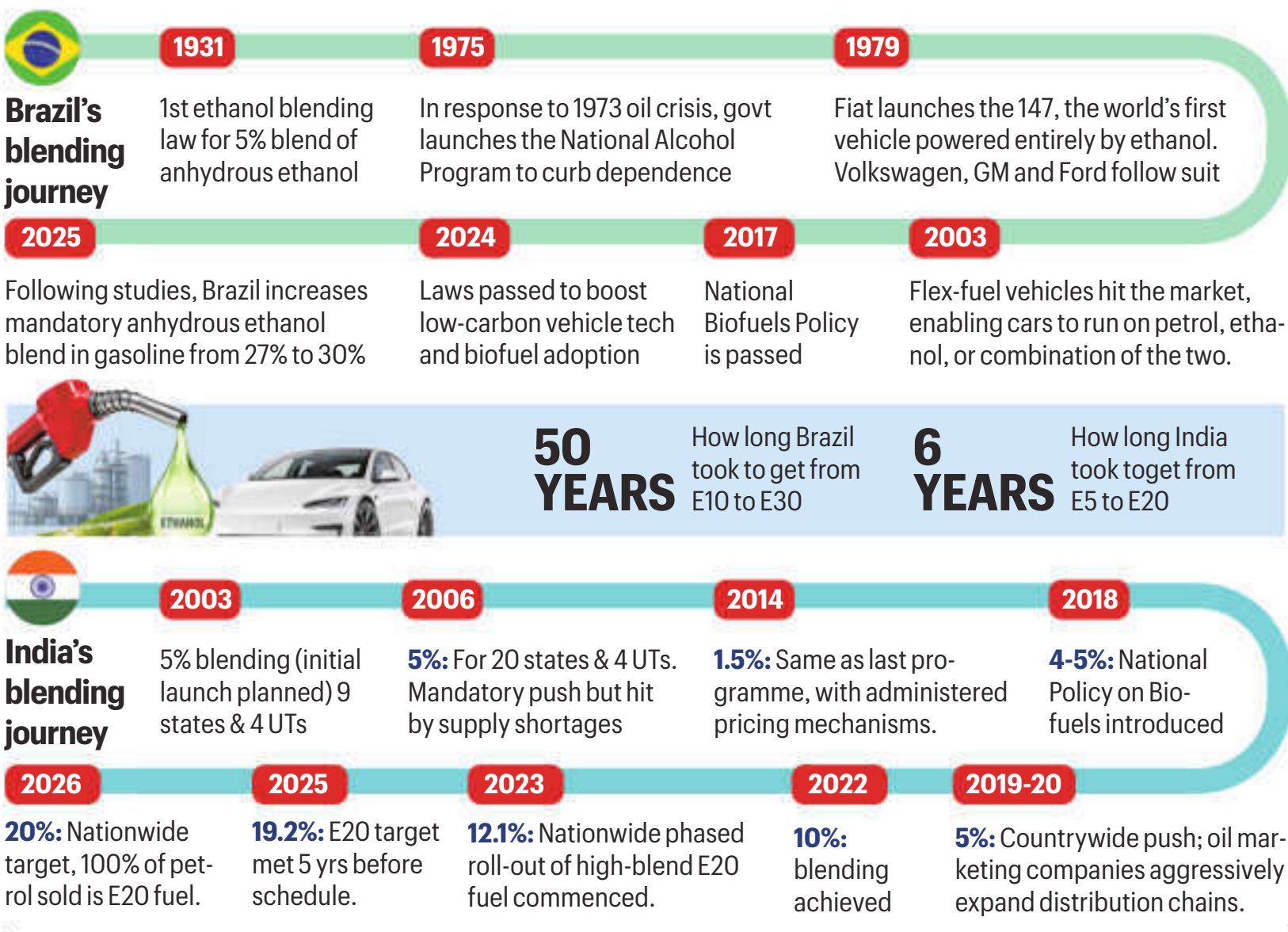
Let's consider the timing. In response to the 1973 global oil crisis, the Brazilian government launched the National Alcohol Program (Proálcool) in 1975 to reduce petroleum dependence by promoting ethanol additives. But its first ethanol blending law, Brazil's legislation requiring a 5% blend of anhydrous ethanol into petrol, goes all the way back to 1931. This decades-long arc culminated in the 2024 'Fuel of the Future' and 'Mover Program' legislation to boost low-carbon vehicle tech and biofuel adoption, with E30 petrol blend mandated in 2025.

The timeline of India's ethanol-blended petrol programme technically spans 2003 to 2026. Even in that, much of the action is front-loaded. It was only in 2022 that 10% ethanol blending was achieved, with a rapid increase to 20% in just three years.

The government originally planned to dispense petrol blended with 20% ethanol only by 2030, but E20 is now the nationwide standard. Since then, there has been a move to shift to E25 as the base fuel, with a simultaneous push for E85-100 fuels for specialised flex-fuel vehicles (FFVs).

FFVs are essentially internal combustion engine vehicles engineered to operate on more than one type of fuel — typically petrol blended with ethanol or methanol. These

• THE DIVERGENT ETHANOL BLENDING ARCS



BRAZILIAN SUGARCANE AND BIOENERGY INDUSTRY ASSOCIATION; MINISTRY OF PETROLEUM AND NATURAL GAS/MINISTRY OF ROAD TRANSPORT AND HIGHWAYS

vehicles use a fuel composition sensor to automatically adjust fuel injection and ignition timing based on the blend in the tank, allowing seamless switching between petrol and ethanol and varying degrees of blends.

Getting the infra ready

On the second aspect of readying the vehicular ecosystem, too, big differences emerge. Brazil started early with its policy to promote FFVs. These vehicles, running for over two decades now, are seen as the drivers of the country's transition to a cleaner mobility model.

It was way back in 1979 that Italian auto major Fiat launched the 147, the world's first vehicle powered entirely by ethanol in Brazil. Volkswagen, GM, and Ford quickly followed suit amid a global oil crisis. That tempo was lost as oil prices fell. The Brazilian auto industry subsequently started producing FFVs at scale from early 2003, when ethanol seemed economically viable again.

On March 23 that year, Volkswagen introduced the first flex-fuel vehicle to the

Brazil's FFV push

Flex-fuel vehicles (FFVs) are engineered to operate on more than one fuel.

FFVs have been driving cleaner mobility in Brazil for around two decades now.

Brazilian market, and other companies — including GM and Ford — followed suit, according to data from consultancy Argus. Toyota brought in its Corolla flex. FFVs went from selling just 48,178 units in 2003, or under 4% of total light motor vehicle demand, to 1.63 million vehicles last year, or nearly 90% of the Brazilian car fleet. The domestic car industry also reached a milestone of having delivered 40 million flex-fuel vehicles as of February since 2003, according to Brazilian industry body Anfavea.

In India, as E85 fuel dispensing stations are being established nationwide, only a few vehicle prototypes are in the works.

While the flex fuel setup entails an entirely separate vehicle category and a range of fresh vehicle readiness certifications, as of now, India has only a handful of cars in the category: the newly launched WagonR flex fuel model and the Toyota Hycross hybrid flex fuel prototype, the Tata Punch and Hyundai Creta flex fuel versions, alongside some two-wheeler makers including Hero and TVS. Most cars and two-wheelers on

Brazil's first ethanol blending law goes all the way back to 1931. Its success story was built over decades of policy and offering choices to consumers

Indian roads are not geared up for handling higher blends of ethanol in the fuel mix.

Commuter choice

Over the past five decades, Brazil has worked to give the power of choice to its motorists. At nearly every petrol pump in Brazil now, people have an option to choose between blended petrol, which typically includes E27 ethanol, and E100, which is pure hydrous ethanol. Alongside that, since Brazilians got carmakers to switch to FFVs, consumers can fill up with whichever option is cheaper at the pump on a particular day. Often, E100 is cheaper by 25-35% compared to lower efficiency petrol.

Flex fuel cars were a hit with Brazilian consumers, largely because government price support made the blended fuel cheaper than petrol. Ethanol also improves acceleration and reduces knocking (the sound that occurs when fuel ignites unevenly inside the engine cylinder). By the late 1980s, nine out of every 10 new cars sold in Brazil were capable of running on ethanol alone.

In India, motorists were told that performance would not be affected. But the definition of performance did not include mileage. That has come back to bite the decision-makers, as vehicle owners noticed a sharp dip in fuel efficiency, with the promise of more efficiency loss as blending increases. Concerns over vehicle damage appear somewhat overstated, though there are concerns about plastic and rubber parts getting degraded in older vehicles.

All the while, Brazil was focusing on blended fuel and ethanol, implementing policies in a phased manner to ensure that people who had bought vehicles earlier did not feel at a disadvantage.

Questions for India

In India, the push to progressively raise ethanol blending in petrol from the current E20 level to E25, before transitioning towards flex-fuel vehicles and E85-E100 fuels, is an integral part of the strategy to reduce dependence on imported fossil fuels.

According to an official, "India's future mobility ecosystem will combine EVs, bio-fuels, hydrogen and renewables in a manner suited to Indian realities". India currently imports nearly 88.5% of its crude oil requirement, making the economy and energy security vulnerable to geopolitical disruptions. But the rushed manner in which it has happened, without adequate disclaimers or preparation, raises serious questions.

• **LEGAL**

Tabling report on Justice Varma: Accountability after resignation

Vineet Bhalla
New Delhi, July 9

LOKSABHA Speaker Om Birla's decision to table the report of the parliamentary committee probing former Allahabad High Court judge Yashwant Varma puts India's judicial accountability framework into uncharted territory. When Justice Varma resigned in April, it was thought the impeachment proceedings against him had hit a dead end. But experts argue that tabling the report is a crucial step for public accountability, challenging a long-held assumption that a judge's resignation automatically extinguishes a parliamentary probe.

What does the law say about a judge's resignation?

Under Article 217, a High Court judge can resign by writing to the President. In 1978, the Supreme Court ruled that a judge's resignation is a unilateral act that takes effect immediately on the date chosen by the judge, without needing formal acceptance.

Why did previous impeachment probes lapse?

No judge has ever been impeached in India. In 2011, impeachment proceedings

against Sikkim High Court Chief Justice P D Dinakaran and Calcutta High Court judge Soumitra Sen were dropped after they resigned.

Justice Dinakaran had resigned while the committee was in the midst of its probe against him. The Rajya Sabha secretariat reasoned that since the goal of the probe was the removal of the judge, a resignation rendered the process meaningless.

The same rationale was followed when Justice Sen resigned, with Lok Sabha dropping the impeachment vote even though Rajya Sabha had passed the impeachment motion against him before he had resigned.

Legal scholars, however, point out that the law does not explicitly state that an inquiry must lapse upon resignation. Shubhankar Dam, Chair Professor of Public Law and Governance at the University of Portsmouth School of Law, said that the 1978 Supreme Court judgment did not account for the implications of a judge resigning while facing a misconduct probe.

"After the precedent set by Justices Dinakaran and Sen, resignation is the easiest way for judges to evade accountability and retain post-retirement benefits," Dam said. He added that the report matters as a parliamentary and public record of a judge's conduct.

The Justice Varma case

Last year, wads of burnt currency notes were recovered from Justice Varma's official residence.

An in-house probe by the Supreme Court reportedly found him culpable.

Over 146 Lok Sabha MPs moved a motion for his removal. The Speaker constituted a three-member committee under the Judges (Inquiry) Act.

Before the panel could conclude its hearings, Justice Varma resigned.

Was there any resistance to ending the Justice Dinakaran probe?

During the Justice Dinakaran impeachment episode in 2011, jurist G Mohan Gopal, then a member of the panel probing the judge, had written to his fellow committee members urging them to complete the investigation despite the judge's resignation less than three weeks earlier.

In his letter, Gopal drew a distinction between the two parts of the procedure under the Judges (Inquiry) Act: the "investigation and proof" of misbehaviour, and the actual "removal from office" by Parliament. He argued that establishing the truthfulness of the charges is an end in itself.

"If judges are given the de facto power to 'veto' even this narrow sliver of accountability for misbehaviour, the public faith in the system may be eroded further," Gopal wrote. He warned that aborting the probe would create an "absurd situation" where a judge could end an investigation at any point simply by resigning.

Ultimately, the Justice Dinakaran probe was wound up, partly because a vacancy on the probe committee made it dysfunctional, and the Rajya Sabha chairman, Vice President Hamid Ansari, felt that after Justice Dinakaran's resignation, the primary

objective of his removal was moot.

What are the implications of tabling the report now?

Tabling the report against Justice Varma would serve two major purposes. First, it would bring the findings of a constitutionally-mandated, taxpayer-funded inquiry into the public domain. Lawyer and legal scholar Alok Prasanna Kumar said this was an opportunity for the Speaker to "overturn the unfortunate precedent set in the Dinakaran case".

"This is not just a removal process but an accountability process that allows the public to know whether a judge has committed misconduct," Kumar explained. "This is an inquiry conducted on public money under a constitutional process, and we as the public are entitled to know what the committee has found."

Second, the findings could have legal and financial consequences. Upon resignation, a judge is typically entitled to the same pensionary benefits as one who retires normally from service. A formal impeachment by Parliament could stop the judge's pension and other post-retirement benefits, and potentially pave the way for further criminal action.

• **HISTORY**

How Indonesia's iconic Prambanan temple was lost and rediscovered

Nikita Mohta
New Delhi, July 9

PRIME MINISTER Narendra Modi's visit to Yogyakarta, Indonesia, this week marked the beginning of India's effort to help restore the iconic Prambanan Temple, a UNESCO World Heritage Site. The Prambanan Temple Compounds, located on the island of Java, comprise Prambanan Temple (also known as Loro Jonggrang or Candi Prambanan), Sewu Temple, Bubrah Temple, and Lumbung Temple.

The birth of a temple

The Sanjaya dynasty ruled the Mataram Kingdom in Central Java during the eighth and ninth centuries. It is generally associated with the revival of Shaivite Hinduism on the island. Its dominance was challenged by the Sailendra dynasty, a powerful Buddhist royal house.

Following the end of the reign of Samaratungga of the Sailendra dynasty, Rakai Pikatan of the Sanjaya dynasty is believed to have married Samaratungga's daughter, Pramodhawardhani, and ruled between 842 and 856 CE. He commissioned Prambanan as a grand Hindu sanctuary.

In his journal article *Magnificent Prambanan and Borobudur Temples* (2026), researcher Hary Gunarto notes that the construction of Prambanan was intended to mark the return of the Hindu Sanjaya dynasty to power after nearly a century of Buddhist Sailendra dominance. Although the construction date is uncertain, inscriptions record the consecration of the temple in 856 CE.

The marriage of a Hindu ruler and a Buddhist princess is often seen as a symbol of religious harmony, also reflected in the architecture of Prambanan. The temple incorporates a Buddhist stupa-like element atop its superstructure, while Buddhist artistic influences are visible across the complex.

For roughly the next century, Prambanan served as a key pilgrimage centre. But around 929-930 CE, the political centre of the Mataram Kingdom shifted to East Java. While this move is often linked to the eruption of Mount Merapi, historians have also suggested political and economic reasons. As Central Java was abandoned, Prambanan fell into disuse and was eventually buried beneath vegetation and volcanic debris.

Rediscovering Prambanan

Who first rediscovered Prambanan after centuries of abandonment remains a matter of debate. One possible early visitor was the 15th-century East Javanese court poet Mpu Tanakung. He wrote: "A great temple complex from ancient time rose near a mountain stream, and the path there was lonely." Scholars have noted striking similarities between his account and Prambanan.

Another figure associated with the site's rediscovery is Thomas Stamford Raffles, Lieutenant-Governor of Java during the British interregnum (1811-16), who took a keen interest in documenting its ancient monuments. An even earlier European account comes from CA Lons, an official of the Dutch East India Company. As Roy E Jordaan notes in *In Praise of Prambanan* (1996): "Lons was an employee of the Dutch East Indies Company who in 1733, while staying at the court of the Javanese sultan as a member of an embassy made a sightseeing tour of a number of temple ruins and reported on these to his superiors."

Prambanan has since undergone several phases of restoration, many of them interrupted by World War II and Indonesia's independence struggle. "Thus the reconstruction of the main temple, which had been in progress since 1918, was only completed in 1953, under a new national flag. The inauguration ceremonies were conducted by Soekarno, Indonesia's first president," writes Jordaan.



A view of the Prambanan Temple complex. PTI

• **POLICY**

Revamped EPFO portal: Centralised database, with easier claim filing & info access

Aanchal Magazine
& Ravi Dutta Mishra
New Delhi, July 9

AS THE Employees' Provident Fund Organisation (EPFO), India's retirement fund body, rolls out a revamped portal, members will be able to access all their details on a unified portal along with faster auto-crediting of interest by July 15.

One of the most important features of the Centralised IT Enabled Services (CITES) project under the EPFO 2.01 initiative is the move towards a centralised database. It follows the merger of information from all regional centres, which will allow members to resolve their issues at any regional EPF office and not necessarily in their city of employment, where Provident Fund deductions may have happened.

"The EPFO has completed the process of migrating its entire database of member records to the new centralised database. Earlier, the services were tied to a particular

Regional Office. Now, a member's service request can be processed from any authorised location across the country," the Ministry of Labour and Employment said in a statement on Wednesday.

Centralised database

The new portal enables automated processes, including crediting of interest, online processing of claims verification, and a facility to view the eligible amount for withdrawals under various claim categories.

A centralised database is a significant measure that will help employees who migrate for work and also the PF members who struggle to find solutions at a particular regional office, as has happened in the past. For instance, if an employee has worked in Chennai and moves back to their hometown in West Bengal, they can access their records and resolve any issues at the EPFO office in West Bengal instead of travelling to the Chennai office.

The new portal will also help expedite

the annual interest crediting process by July 15, which would earlier get delayed to October-November. Labour and Employment Minister Mansukh Mandaviya on Wednesday said the annual interest of Rs 1.44 lakh crore for financial year 2025-26 will be auto-processed on the new portal and verified by field authorities before being credited to 34 crore EPF accounts by July 15. The EPFO has nearly 8 crore contributing members.

Also, under the revised system, interest for the final PF settlements will now be calculated up to the date of payment authorisation. Earlier, interest was calculated only up to the last day of the previous month. "This ensures that members receive the benefit of additional interest for the intervening period," the ministry said.

Pre-validation of claims

Member claims will undergo automated pre-validation before processing at EPFO offices, as per the Ministry statement. In a first-time feature, any defi-

ciencies or discrepancies will be identified and will be communicated to the EPF members through SMS and the portal.

"Wherever additional information or clarification is required during claim processing, EPFO offices will be able to raise queries online through the system. Members can respond online, enabling faster resolution, minimising physical visits to EPFO offices, and further reducing claim rejections," the ministry said.

In another new feature, members will be able to view the eligible amount for withdrawal from their PF account under the different claim categories. These measures are aimed at improving first-time acceptance rates and reducing claim rejections, as high claim rejection rates have been a key concern over the last few years. "Earlier, members did not have clear visibility of the amount they were eligible to withdraw under different withdrawal categories. As a result, claims exceeding the permissible limit were often rejected," the ministry said.

Streamlined claims

Members will have access to a unified digital interface to view their membership details, provident fund balances, claim status, pensionable service records, and benefits availed. This is to ensure transparency and access to information about their PF account and submission of claims, the ministry said.

Member claims for advances upto Rs 5 lakh, which are fully KYC-linked and validated, will be processed through an auto-settlement mechanism, it said.

In October 2025, the EPFO announced a slew of changes to its withdrawal norms by streamlining the withdrawal categories from 13 to three — essential needs (illness, education, marriage), housing needs, and special circumstances, along with an introduction of a minimum balance of 25%.

Members can withdraw funds in case of illness of self and family members, up to 100% of the eligible member balance, after completion of 12 months of total member-

ship. The 100% eligible member balance means withdrawal of 75% of the total funds, as 25% is a mandatory minimum balance requirement. The full 100% amount can be withdrawn after remaining unemployed for one year.

Members can also withdraw money for the education of self and family members after 12 months of membership, subject to a maximum of 10 withdrawals during their membership. For marriage of self and family members, members can withdraw up to 100% of the eligible member balance, with a maximum of five withdrawals during their membership.

For housing-related requirements, a member may be allowed partial withdrawal for the purchase of a flat or house; site for construction of a house; construction of a house; repayment of a home loan obtained for purchase, construction of a flat or house or for acquisition of a site; and additions, alterations, renovations or improvements to an existing house or flat.

GOVT'S TOP ECONOMIST SAID THE ADVANTAGE BUILT BY INDIA 'CAN ERODE'

GCC costs rising, others are copying India, cautions CEA

Siddharth Upasani
New Delhi, July 9

WHILE THE rise of global capability centres (GCCs) has been “one of the quiet successes” of India, the country can’t be complacent as costs are rising domestically and other nations are copying us, Chief Economic Advisor V Anantha Nageswaran said on Thursday.

Speaking at the CII GCC Business Summit, he cautioned that the advantage built by India “can also erode”. “Other countries are watching us and copying us. Our costs are rising. In some skills, our talent is already scarce. So, indispensability is not a title we can hold forever. It is a position we have to earn, and then earn again. The moment we believe we have arrived is the moment others begin to catch up,” Nageswaran said, warning against celebrating “too early”.

India is a global hub of GCCs, with the CEA pointing out that there may be more than 2,000 such centres in the country possibly employing more than 2 million people, with revenue heading towards \$100 billion. On the whole, they account for around 2% of India’s GDP.

With more and more global companies — from banks to car-makers and semiconductor firms — performing cutting-edge work in artificial intelligence and machine learning in these GCCs, India has become the second-largest base of enterprise AI talent in the world.

Addressing fears that AI may replace Indian professionals such as coders, Nageswaran said that if the value of a GCC lies in “doing simple tasks at low cost, then that value is under real threat”. However, he argued that the building, deployment, and governing of AI still requires humans, and that this work is only increasing, with a growing share of it being done in India. And in well-run GCCs, AI only raises the value of each employee.

The CEA said that in such a



CEA V Anantha Nageswaran

● GUARDRAILS

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situation, the government and industry must work together to ensure GCCs don’t stand still and “move up”, while asserting that while the government “can build the runway... It cannot fly the plane.”

Listing the announcements of the Union Budget 2026-27 that provided tax certainty to GCCs and simplified and expanded the transfer-pricing safe harbour along with a higher threshold, Nageswaran said industry must now help make the “move from cost to capability, from execution to innovation”. This includes skilling in the form of day-one ready graduates, which will require universities, industry, and the government to work together at the same time. With the value of GCCs lying in the judgment of the people who run them, the goal according to the CEA is not to make people work like machines but to free staff to do what machines can’t do.

FULL REPORT ON
WWW.INDIANEXPRESS.COM

FM: Not just host GCCs; maximise innovation, accelerate discovery

ENS Economic Bureau
New Delhi, July 9

MOVING BEYOND minimising cost to maximising innovation, accelerating discovery and strengthening long-term competitiveness should define the ambition for the enterprises for the next decade, Union Finance Minister Nirmala Sitharaman said on Thursday.

The ambition for the next decade should not simply be to host Global Capability Centres (GCCs), but “to ensure that an increasing share of the world’s ideas, parents, products, algorithms, platforms and enterprise capabilities are conceived, engineered and led from India”, she said.

“Global enterprises no longer choose countries merely based on costs or incentives. It is ecosystems, not incentives alone, that determine long-term competitiveness,” Sitharaman said at the inaugural GCC summit organised by the Confederation of Indian Industry (CII).

In her message to the industry leaders, Sitharaman urged them to continue moving decisively up the value chain by creating intellectual property, leading frontier research, and developing AI applications, own product architecture to drive global innovation.

She asked industry to deepen its engagement with knowledge institutions through stronger partnerships with universities, start-ups, and centres of excellence to ensure that innovation moves seamlessly from laboratories to markets.

As Tier-2 and Tier-3 cities are rapidly developing the talent, infrastructure and innovation capacity required for globally competitive enterprises, Sitharaman said the industry should



The next phase of GCC growth cannot remain confined to a handful of metropolitan centres, the FM said. EXPRESS PHOTO

look at expanding into the emerging cities.

“I encourage industry to engage proactively with state governments, city administrations, educational institutions and local communities to build that awareness and help prepare these cities for the next wave of GCC investment,” she said, adding that industry should build partnerships with governments by sharing practical feedback on policy, processes, talent and infrastructure. Urging enterprises that have invested successfully in India to become ambassadors for India’s capabilities, she said their success stories are the “strongest endorsement of India’s GCC ecosystem”.

The finance minister said the next phase of GCC growth cannot remain confined to a handful of metropolitan centres. “If the first 2,000 GCCs were concentrated in metropolitan centres, the next wave of India’s GCC growth will be geographically far more diverse. The geography of global value creation itself is changing. Tomorrow’s breakthrough in artificial intelligence, engineering design or product development could emerge as readily from Varanasi, Chandigarh, Visakha-

patnam, Tiruchirappalli or Mysuru as from Bengaluru, Hyderabad or Gurugram.”

“These cities are offering competitive operating costs, and they are also rapidly developing a mature innovation base, emerging as powerful centres of innovation,” she said.

The establishment of a GCC in one of these cities has a multiplier impact, Sitharaman said. “It creates demand for advanced skills and specialised training. It supports start-ups, professional services, housing, urban infrastructure and research collaborations. It also encourages stronger partnerships between universities, industry and local institutions, helping cities evolve into vibrant innovation ecosystems. In doing so, GCCs become catalysts for balanced regional development,” she said.

The minister said states can develop specialised ecosystems aligned to their own abilities and needs as different states possess different competitive advantages, which will help make India’s overall innovation ecosystem more resilient, diversified and globally competitive.

FULL REPORT ON
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Govt waives import duty on inputs for manufacturing batteries, display assemblies

Ravi Dutta Mishra
New Delhi, July 9

THE UNION finance ministry has exempted customs duty on 85 capital goods used in lithium-ion cell manufacturing, as well as on inputs used in the manufacture of display assemblies and inductor-coil modules for wireless charging in cellular mobile phones, till March 2029 to promote domestic manufacturing in the electronics sector.

The items exempted from customs duty include backlight units, frames, anisotropic conductive film, cathode and anode extrusion coating machines, powder dryers and slurry transfer systems.

A finance ministry official said the duty exemptions on specified inputs and parts are intended to provide an impetus to domestic manufacturing of display assemblies used in the automotive, medical and industrial sectors.

The import duty exemption for inputs used in the manufacture of inductor-coil modules for wireless charging in cellular mobile phones will further deepen value addition in mobile phone manufacturing, the official said.

On the duty exemption for capital goods used in lithium-ion cell manufacturing, the official said the earlier exemption was linked to lithium-ion cells used in specific types of batteries, such as those for mobile phones, electric vehicles and energy storage systems.

“This notification merges the existing entries for specified capital goods used in the manufacture of lithium-ion cells and removes the restriction linked to specific downstream battery applications, and this will support lithium-ion cell manufacturing for batteries used across electronics, electric mobility, energy storage and other applications,” the official said.

Experts said the government is gradually integrating India into the global electronics and smartphone value chain by ex-

● CUSTOMS RELIEF

THE DUTY exemptions on specified inputs and parts are intended to provide an impetus to domestic manufacturing of display assemblies used in the automotive, medical and industrial sectors.

EXPERTS SAID the government is gradually integrating India into the global electronics and smartphone value chain by extending duty relief to specified components used in smartphone and electronics manufacturing.

THE EXPANDED LIST of 85



exempted capital goods for lithium-ion cell manufacturing is expected to accelerate investments in domestic battery manufacturing.

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The expanded list of 85 exempted capital goods for lithium-ion cell manufacturing is expected to accelerate investments in domestic battery manufacturing, a strategically important segment for smartphones, consumer electronics and electric mobility.

Manoj Mishra, Partner and Tax Controversy Management Leader at Grant Thornton Bharat, said the government’s decision to grant duty exemptions is another significant step towards strengthening India’s electronics manufacturing ecosystem. “By reducing the import cost of critical components and capital goods, these measures are expected to improve cost competitiveness, encourage greater domestic value addition, and support the localisation of high-value manufacturing in smartphones and other electronic products. The exemption for inputs used in display assemblies for automotive, medical and industrial applications broadens support beyond consumer electronics, while the relief for inductor coil modules used in wireless charging will benefit smartphone manufacturers adopting advanced fea-

tures. The expanded list of 85 exempted capital goods for lithium-ion cell manufacturing is likely to accelerate investments in domestic battery manufacturing, an area that is strategically important for smartphones, consumer electronics and electric mobility,” Mishra said.

Senior Research Fellow at the Academy of Business Studies (ABS), KS Chalapati Rao, said in a note on Thursday that electronics manufacturing, a key component of the Production Linked Incentive (PLI) scheme and the broader domestic manufacturing push, saw new equity inflows almost halve in FY26 compared with FY25. “Electronics FDI fell from \$2.04 billion (FY25) to \$1.15 billion (FY26) despite record aggregate inflows. One possible interpretation is that the initial investment cycle associated with the PLI programme is moderating. Confirmation, however, requires firm-level evidence,” Rao said.

In a Lok Sabha reply last July, Minister of State for Electronics and Information Technology Jitin Prasada said the number of mobile manufacturing units in India had increased to 300 in 2024-25 from just two in 2014-15. Mobile phone production rose 28-fold to Rs 5.45 lakh crore, while exports increased 127-fold to Rs 2 lakh crore.

● MINISTRY DISCUSSED STEPS TO BE TAKEN IN CASE OF ADVERSE WEATHER CONDITIONS — PARTICULARLY IF HYDROPOWER AND WIND GENERATION ARE AFFECTED

Power ministry mulls advisory amid El Niño uncertainty

Pratush Deep
New Delhi, July 9

THE POWER Ministry is expected to issue a detailed advisory to stakeholders across the power sector, outlining measures to mitigate the impact of erratic weather conditions due to the effects of El Niño.

At a review meeting held on Thursday, the ministry discussed contingency steps to be taken in the event of adverse weather conditions, particularly if hydropower and wind generation are affected, *The Indian Express* has learned.

The meeting was attended by the Power Secretary, the Central Electricity Authority

(CEA) Chairperson, representatives of State Load Despatch Centres (SLDCs), state governments, transmission sector stakeholders, among others.

This comes after Prime Minister’s Office (PMO) on Tuesday took stock of possible impact of El Nino on various sectors and directed that the overall situation should be continuously monitored and the impact of the monsoon/delayed monsoon on vulnerable districts must be assessed in coordination with states so that remedial action can be taken up when necessary.

According to officials aware of the discussions, the Power Ministry’s advisory is expected



Thermal power stations are expected to take preventive maintenance to minimise forced and partial outages. REUTERS

to focus on a few key areas, including ensuring fuel and water availability for thermal plants, preventing outages,

safeguarding critical transmission assets, and shifting more agricultural demand to solar hours. It is likely to stress

the need for thermal power plants to maintain adequate coal stocks and ensure reliable water availability, particularly in the event of deficient rainfall, for which state governments may be asked to facilitate supply. Thermal power stations are also expected to undertake preventive maintenance to minimise forced and partial outages during periods of high demand.

Generating companies and transmission utilities may also be asked to identify critical transmission lines, transformers and other network elements vulnerable to heavy loading or overloading, so that preventive measures can be

taken in advance. The advisory is also likely to encourage states to shift agricultural power demand to solar hours to better utilise abundant daytime solar generation.

Queries sent to the Ministry of Power remained unanswered till the time of filing this report. There are concerns that deficient rainfall could adversely affect both hydroelectric and wind power generation. In such a scenario, if output from these sources declines sharply, the power system may have to rely more heavily on coal-based generation to bridge the gap.

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